IN NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP/41/CAA/2022 in CA/42/CAA/2021

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

M/S. SUZLON POWER INFRASTRUCTURE LIMITED
A company incorporated under Companies Act, 1956, having its registered office at, 1055/18, 2nd Floor, Gowtham Centre, Near Anna Statue, Avinashi Road, Coimbatore, Tamil Nadu – 641018

...Petitioner / Transferor Company

Order pronounced on ***10th June 2022***

CORAM:

JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

For the Applicants: Mr. Pawan Jhabakh, Advocate.

ORDER

Per: **- Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration is a Company Petitions in CP/41CAA/2022 filed by the above-mentioned Petitioner Company under section 230 - 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Petition is seeking sanction of the Scheme of Amalgamation involving merger by absorption of **Suzlon Power Infrastructure Limited** (hereinafter referred to as

the **"Petitioner/Transferor Company**) with a company known as **Suzlon Global Services Limited** [hereinafter referred to as the **"Petitioner/Transferee Company]**. The Transferee Company is in the State of Gujarat and appropriate proceedings seeking approval of the Scheme have been filed before the Hon'ble NCLT, Ahmedabad Bench, in CP/(CAA)/16(AHM) 2022.

2. M/s. Suzlon Power Infrastructure Limited

2.1. The Petitioner/Transferor Company viz., M/s. Suzlon Power Infrastructure Limited, was incorporated on the 10th day of June 2004, under the provisions of the Companies Act, 1956, pursuant to a certificate of incorporation issued by the Registrar of Companies, Chennai. The registered office of the Transferor Company is situated at 1055/18, 2nd Floor, Gowtham Centre, Near Anna Statue, Avinashi Road, Coimbatore, Tamil Nadu – 641018. The main object of the Transferor Company is set out in clause III of its Memorandum of Association (in short **"MoA"**). They are briefly as under:

> "To engage in the business of evacuation, transmission, distribution of power generated from any conventional or non-conventional energy sources including but not limiting to wind energy, thermal, solar, hydro, tidal, wave, steam, biomass, geothermal, atomic, waste energy sources and for the purpose to organize, undertake, layout, develop, construct, build, erect, demolish, re-erect, alter, repair, re-model, modify, augment for and on its own behalf or for and

on behalf of other person or persons including but not limiting to individuals, organizations', bodies corporate, associations, unincorporated bodies, State Electricity Boards, State Nodal Agencies, private/ semi-government/ government companies- power generation, power transmission, power distribution, power trading companies or otherwise, all infrastructure development activities including transmission lines, sub-stations, power houses, power stations,etc"

2.2. The Authorized Share Capital, Issued, Subscribed and Paid-up share capital of the Transferor Company as under:

PARTICULARS	AMOUNT (INR)
Authorized share capital	
19,70,00,000 Equity Shares of INR 10 each	197,00,00,000
Total	197,00,00,000
Issued, subscribed and paid up share capital	
19,46,10,000 Equity Shares of INR 10 each fully paid up	194,61,00,000
Total	194,61,00,000

3. 1st Motion Application – In Brief

3.1. This Tribunal vide its Order dated 15th December, 2021, passed in CA/42/CAA/2021, based on the representations made by the Petitioner, had ordered the dispensation of the convening, holding and conducting meeting of the Equity Shareholders and directed the convening, holding and conducting meeting of the Secured and Unsecured Creditors of the Transferor Company. The Board of Directors of the Transferor Company and

Transferee Company vide their resolution dated **03.02.2021** respectively approved the said Scheme of Amalgamation.

4. The Chairman's Report for the meeting of the secured and unsecured creditors were filed on 25th January 2022 (Online filing date).

Meeting of the Secured and Unsecured Creditors:

- The Meeting of the Secured and Unsecured Creditors were conducted on 22nd January 2022 at 11.00 AM and 12.30 P.M. respectively at 1055/18, 2nd Floor, Gowtham Centre, Near Anna Statute, Avinashi Road, Coimbatore, Tamil Nadu -641018.

- The Secured Creditors meeting was attended by 5 (Five) Secured Creditors who voted unanimously and the Unsecured Creditors meeting was attended by 50 (Fifty) Unsecured Creditors who voted unanimously in favour of the Scheme of Amalgamation.

5. The Transferor Company had filed its Company Petition before this Tribunal on 9th February 2022 (Online filing date) for the sanction of the Scheme of Amalgamation involving merger by absorption of **Suzlon Power Infrastructure Limited** (hereinafter referred to as the **"Petitioner/Transferor Company**) with a company known as **Suzlon Global Services Limited** [hereinafter referred to as the **"Petitioner/Transferee Company]**.

6. RATIONALE OF THE SCHEME

6.1. On perusal of the rationale of the scheme of Amalgamation, the Board of Directors of the respective Petitioner Companies have considered the proposed Scheme:

a. Transferee Company is a wholly owned subsidiary of Suzlon Energy Limited (SEL) and similarly, Transferor Company is also a wholly owned subsidiary of SEL. Therefore, both, the Transferor Company and the Transferee Company, have sole and common shareholder, being Suzlon Energy Limited.

b. The management of both the companies believe, that, consolidation of all the value-added services under one entity will align priorities right and will bring consolidation in enterprise value along with operational, administrative and financial synergies

c. Further, cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processed, elimination of duplication and rationalization of administrative expenses and greater efficiency can be achieved in cash management by the combined entity which can be deployed more effectively to fund organic and inorganic growth opportunities or even to better service the debt facilities at Group level.

d. The proposed merger will also help in reduction of legal entities, thereby optimizing the cost of compliance and

administration by avoiding duplication of cost and efforts

7. The Company Petition was admitted by this Tribunal on 17th March 2022 wherein notices were ordered to the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, Coimbatore, Income Tax Department and the Official Liquidator and paper publication in "Business Standard" English (All India Edition) and "Dina Mani" Tamil (Tamil Edition). In compliance of the order dated 17th March 2022, the Petitioner Company has filed their affidavit of service on 16th May 2022 (Online filing date).

8. RESPONSE FROM STATUTORY AUTHORITIES

8.1. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**'), and has observed in Paragraph 9 of the report, that the Transferee Company herein, has not provided for the payment of further fee/stamp duty for the enhanced authorized capital and that therefore, the Transferee Company herein, maybe directed to remit the difference in fee, if any, in accordance with section 232(3)(i) of the Companies Act, 2013 and to thereafter file the amended Memorandum of Association and Articles of Association with the Registrar of Companies, Chennai. The Transferee Company is directed to comply with the

observations of the Regional Director. It has been further submitted that as per the report of the RoC, Chennai, the Transferor Company and the Transferee Company are regular in filing their statutory returns and in respect of both the companies, no prosecution filed, no complaints pending and no inspection/ investigation has been conducted. Accordingly, the RD, as recorded in paragraph 13 of the said report, has decided not to make any objection to the scheme.

8.2. The Report of The Official Liquidator does not contain any observations. We hereby direct the Transferor Company to pay a sum of *Rs.50,000/- (Rupees Fifty Thousand Only)* to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company

9. As mentioned in Part E of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards. The Appointed date of the said Scheme is **01.04.2020**.

10. The Scheme of Amalgamation will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditor/s in any manner.

11. The Scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Amalgamation was duly approved by the shareholders of the respective companies. Taking into consideration all the above, the Company Petitions are allowed and the Scheme of Amalgamation annexed with the petition is hereby **sanctioned** which shall be binding on all the members, creditors and shareholders.

12. The Transferor Company shall be dissolved without the process of winding up from the date of filing of the certified copy of this Order with the Registrar of Companies, Chennai. Further, the Transferee Company is directed to file its amended memorandum of Association and the Articles of Association with the Registrar of Companies, Chennai, for their record.

13. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any

applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

14. The Companies to the said Scheme or other persons interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Companies shall file with the Registrar of Companies, the certified copy of this Order, within 30 days of the receipt of the order.

15. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

16. Accordingly, the Scheme annexed with the petition stands sanctioned and the Company Petition No. CP/41/CAA/2022 stands **disposed of**.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-Sd-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)